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Index

- Introduction
- Section 7 & 9: Pre-Amendment Analysis The 'May' vs. 'Shall' Debate - A Question of Statutory Interpretation.
- Vidarbha Industries Power Ltd. v. Axis Bank Ltd. (2022)
- Aftermath of Vidarbha: Judicial Chaos and Legislative Alarm.
- Sections 7 & 9 under the IBC (Amendment Act, 2026: A Paradigm Shift.
- Practical Implications for Creditors and Corporate Debtors.
- Comparative and Policy Perspective: Comparative Jurisdictions.
- Key takeaway

INSOLVENCY AND BANKRUPTCY CODE (AMENDMENT) ACT, 2026-COMPREHENSIVE ANALYSIS.

Introduction & Overview

On 30th March 2026, the Lok Sabha passed the Insolvency and Bankruptcy Code (Amendment) Bill, 2025, which was enforced on 6th April 2026. This Amendment stands as one of the most consequential legislative developments in India's insolvency landscape since the enactment of the original Code in 2016. The Bill was originally introduced in August 2025 and referred to a Select Committee of Parliament, whose recommendations have been substantially incorporated into the final legislation. The amendments aim to address practical challenges, incorporate evolving global best practices, and reflect the experience gained since the law's implementation.

At the core of the Corporate Insolvency Resolution Process (CIRP) lie **Sections 7** and **Section 9** of the IBC, which enable financial and operational creditors, respectively, to initiate insolvency proceedings against a defaulting corporate debtor. Historically, the admission of such applications was marked by discretion and delay, resulting in prolonged pre-admission litigation and consequent erosion of asset value.

The 2026 Amendment addresses this by mandating that the Adjudicating Authority admit or reject an application within fourteen days, with reasons required for any delay. In doing so, it replaces a permissive, discretion-driven framework with a time-bound, rule-based regime, significantly enhancing

procedural certainty and expediting the initiation of CIRP.

Section 7 & 9: Pre-Amendment Analysis The 'May' vs. 'Shall' Debate - A Question of Statutory Interpretation

IBC AMENDMENT BILL, 2025 **From Delay to Discipline**

One of the most consequential interpretive debates in India's insolvency jurisprudence centred on the word "may" in Section 7(5)(a) of the IBC. While the provision empowered the Adjudicating Authority to admit an application upon satisfaction of debt and default, corporate debtors argued that the use of "may", as opposed to "shall", conferred discretion to reject such applications even where default was established. This argument drew strength from the statutory contrast with Section 9(5)(a), where the legislature employed the term "shall", thereby suggesting a mandatory obligation in respect of operational creditor applications and a discretionary one for financial creditors.

Prior to the controversy reignited by *Vidarbha Industries* (2022 SCC Online SC 841), the legal position was largely settled. In *Innovative Industries Ltd. v. ICICI* AIR 2017 SC 4084, *Bank*, the Supreme Court held that once debt and default are established, admission under Section 7 is mandatory, subject only to the application being complete. This position was reaffirmed in *Swiss Ribbons Pvt. Ltd. v. Union of India* AIR 2019 SC 739, where the Court upheld the Code's constitutionality and endorsed a default-centric framework as the trigger for CIRP. Together, these rulings established a creditor-oriented regime with minimal scope for adjudicatory discretion at the

admission stage, an approach that the 2026 Amendment now seeks to codify expressly.

Vidarbha Industries Power Ltd. v. Axis Bank Ltd. (2022)



Vidarbha Industries Power Limited ("VIPL") is a company engaged in the business of production of electricity, the tariff for which is regulated by the Maharashtra Electricity Regulatory Commission ("MERC") and the Appellate Tribunal for Electricity ("APTEL"). VIPL was expecting a sum of ₹1,730 Crores pursuant to a favourable order of APTEL, which was challenged by MERC and remained pending before the Supreme Court. Caught in this regulatory gridlock and unable to realise its dues, VIPL defaulted on credit facilities of approximately ₹533 Crores owed to Axis Bank, the lead bank in a consortium of six lenders.

NCLT and NCLAT: Mandatory Admission Upheld

The NCLT dismissed VIPL's stay application, holding Section 7 to be mandatory in its wording. The NCLAT affirmed this position, holding that the issue of liquidity raised by VIPL could not impact the admission of an application under Section 7 of the IBC when the twin test of existence of a debt and default had been proven.

Supreme Court Holding: Section 7(5)(a) as a Directory Provision

The Supreme Court, on 12th July 2022, departed decisively from the positions of both the NCLT and NCLAT. The Court held that the Adjudicating Authority was required to apply its mind to relevant factors such as the feasibility of initiation of CIRP, the impact of MERC's appeal pending before the Supreme Court, and the overall financial health and viability of the Corporate Debtor under its existing management. Invoking the rule of literal interpretation, the Court held that the word "may" in Section 7(5)(a) conferred discretion and not a mandate upon the NCLT to admit the petition.

The Supreme Court dismissed the review petition filed by Axis Bank and upheld its ruling that the Adjudicating Authority must be mindful of the corporate debtor's financial health and viability while admitting a petition under Section 7, and should exercise reasonable discretion while admitting or rejecting such an application for a single instance of default. This dismissal cemented *Vidarbha* as a binding precedent, at least temporarily, and compelled the NCLT to undertake a broader inquiry beyond the established twin test of debt and default.

Aftermath of Vidarbha: Judicial Chaos and Legislative Alarm



The ruling of the *Vidarbha Industries Power Ltd. v. Axis Bank Ltd.* marked a turning point in India's insolvency regime. By interpreting "may" in Section 7(5)(a) as conferring discretion, the Supreme Court of India allowed

NCLTs to reject applications even where debt and default were established—effectively enabling corporate debtors to delay CIRP proceedings.

This led to inconsistent tribunal rulings, with some NCLTs factoring in considerations like financial solvency and third-party impact, thereby prolonging admissions and deviating from the Code's objectives. In response, the Government of India proposed an amendment to mandate admission upon proof of default, clarifying that such discretion was never intended.

Tribunals across the country began applying the discretion inconsistently. Certain NCLTs required additional thresholds to be met before passing an order of admission, including considerations such as financial solvency and impact on third-party rights, factors that would drastically increase the time needed to assess each application. In one notable instance, the NCLT, New Delhi, dismissed a petition by Bank of Maharashtra despite established debt and default, citing the potential impact on homebuyers of an ongoing housing project.

The chaos prompted legislative alarm. The Government of India proposed to amend Section 7 to clarify that the NCLT must admit an application on being satisfied of a default, making evident that the legislature's original intention was never to provide any such discretion to the NCLT. The *Vidarbha* episode exposed a structural flaw in the Code, now addressed by the 2026 Amendment.

Section 7 & 9 under the IBC Amendment Act, 2026: A Paradigm Shift

The 2026 Amendment is, at its core, a legislative correction of judicial overreach. It restores the original intent of the Code with surgical precision, and nowhere is this more evident than in the substituted provisions governing Sections 7 and 9.

- **Substitution of Section 7(5): 'May' Replaced by 'Shall'**

The Act resolves the *Vidarbha* controversy by substituting "may" with "shall" across Sections 7, 9, and 10, with an explicit Explanation that no grounds other than those specified, establishment of default, completeness of application, and absence of disciplinary proceedings against the proposed resolution professional can justify rejection. *Vidarbha* is therefore legislatively extinguished

This single word change carries enormous legal weight. The Adjudicating Authority is no longer a gatekeeper exercising equitable discretion it is a statutory tribunal bound to act upon satisfaction of prescribed conditions.

- **Mandatory 14-Day Timeline and Pre-Rejection Notice**

The Adjudicating Authority must decide applications within 14 days of receipt, recording reasons in writing for any delay. Critically, before rejecting an application, the Authority must issue a notice to the applicant to rectify any defect within seven days, a defect-cure mechanism that protects creditors from technical rejections.

Taken together, these reforms transform admission from a contested battleground into a swift, rule-bound determination, precisely what the Code always intended.

Practical Implications for Creditors and Corporate Debtors.

While creditors benefit from expedited and more predictable admissions, the impact is more pronounced on corporate debtors. Their ability to resist initiation of CIRP at the admission stage now stands substantially restricted, with defences largely confined to the existence of debt and default. As a result, corporate debtors must increasingly shift their focus to post-admission strategies, including

resolution planning and settlement, while adopting more proactive financial and legal risk management to mitigate insolvency exposure.

- **Compressed window for pre-admission settlements:** The mandatory 14-day timeline may significantly curtail the practical window available for parties to negotiate and conclude settlements post-filing but before admission. Corporate debtors, who previously relied on admission-stage delays to explore out-of-court resolutions, may now face expedited admission into CIRP, thereby shifting settlement discussions into the more rigid framework of post-admission remedies (including withdrawal under Section 12A), often at a higher commercial and procedural cost.
- **Constriction of threshold defences:** The scope to resist admission on grounds beyond the existence of debt and default now stands substantially narrowed.
- **Shift to post-admission strategy:** Legal recourse is likely to be recalibrated towards resolution-stage mechanisms, including plan formulation, settlement under Section 12A, or challenges within the CIRP framework.
- **Reduced procedural latitude:** The amendment limits the ability to protract proceedings through jurisdictional or discretionary objections at the admission stage.
- **Increased emphasis on pre-default risk management:** Corporate debtors will need to adopt proactive financial discipline and legal preparedness in anticipation of a more creditor-driven insolvency regime.

Comparative and Policy Perspective: Aligning with Global Insolvency Practice

The 2026 amendment brings India's admission framework closer to mature insolvency regimes by reinforcing certainty and minimizing threshold-level judicial intervention. Under the **U.S. Chapter 11** regime, once statutory

requirements are met, courts typically permit commencement without engaging in substantive viability assessments at the admission stage. The emphasis instead lies on debtor-in-possession restructuring and negotiations within the process. Similarly, by mandating admission upon proof of default, the Indian framework now reduces preliminary litigation and ensures that questions of viability and revival are addressed within the CIRP, rather than at the threshold.

A comparable approach is visible in **Singapore's Insolvency, Restructuring and Dissolution Act, 2018 (IRDA)**, which prioritises speed, predictability, and restructuring efficiency. Judicial intervention is structured and time-bound, with a clear policy focus on preserving enterprise value through in-process resolution rather than admission-stage

scrutiny. The 2026 amendment reflects a similar policy shift in India, moving away from discretionary gatekeeping towards a streamlined, process-driven insolvency regime that enhances creditor confidence while ensuring that restructuring efforts take place within a defined statutory framework.

Key takeaway

“The 2026 IBC amendment aligns India's insolvency framework with global best practices by promoting certainty, reduced judicial discretion, and faster resolution processes.”

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